No prior violation

Specification	Audit failure	Restatement	Violation
A. Annual panel: separate history			
Current auditor	0.0062	0.0057	0.0041
	(0.0046)	(0.0038)	(0.0036)
Observations	31,619	32,019	31,619
R-squared	0.2527	0.2514	0.2431
Outcome mean	0.0395	0.0245	0.0234
B. Annual panel: joint histories			
Current auditor	0.0062	0.0056	0.0040
	(0.0047)	(0.0038)	(0.0036)
Observations	31,619	32,019	31,619
R-squared	0.2527	0.2514	0.2432
Outcome mean	0.0395	0.0245	0.0234
C. New match: first 1 fiscal year(s)			
Successor auditor	0.0043	0.0024	0.0012
	(0.0070)	(0.0056)	(0.0043)
Predecessor auditor	-0.0082	-0.0032	-0.0047
	(0.0071)	(0.0037)	(0.0053)
Observations	7,239	7,347	7,239
R-squared	0.0363	0.0364	0.0257
Outcome mean	0.0420	0.0301	0.0227
D. New match: first 2 fiscal year(s)			
Successor auditor	0.0036	-0.0011	0.0073
	(0.0098)	(0.0096)	(0.0047)
Predecessor auditor	-0.0064	-0.0013	-0.0062
	(0.0089)	(0.0059)	(0.0066)
Observations	6,554	6,702	6,554
R-squared	0.0429	0.0529	0.0303
Outcome mean	0.0630	0.0458	0.0334
E. New match: first 3 fiscal year(s)			
Successor auditor	0.0055	-0.0002	0.0050
	(0.0107)	(0.0112)	(0.0049)
Predecessor auditor	-0.0044	-0.0001	-0.0030
	(0.0111)	(0.0100)	(0.0074)
Observations	5,851	6,042	5,851
R-squared	0.0483	0.0603	0.0346
Outcome mean	0.0832	0.0612	0.0465

Notes: Histories exclude the focal client and use disclosures available before January 1 of the observation year. At least three prior reports and two prior years are required; missing history is not coded as clean. Annual models include client, audit firm and year fixed effects; standard errors are clustered by client. New-match models include audit firm and event-year fixed effects; standard errors are clustered by audit firm. All models include client and historical exposure controls; event models also control for predecessor exposure. Event outcomes equal any failure in the complete follow-up window starting in the matching year. Each fiscal year has a three-year disclosure window. Samples can differ across histories and horizons. *** $p<0.01$, ** $p<0.05$, * $p<0.1$.